US likely to resume strikes after midterms

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【メール原文】

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summary

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The US is likely to resume kinetic strikes against Iran after the midterm elections, triggering Iranian retaliation and moving oil prices higher
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Ukraine is set to defy US pressure and keep striking Russian refineries, betting on the US stopping short of actions that seriously damage its war efforts, while the EU is expanding its tools to counter the escalation in Russian hybrid warfare
*
Hungary is now likely to join the euro by 2032, later than the earlier 2030 adoption goal because of delayed progress on the Maastricht criteria
*
Romania’s political crisis is set to end, as Prime Minister-designate Luca Niculescu is likely to form a minority government
*
Countries and sectors in this edition of the Daily Brief include the US, EU, Australia, China, Hungary, India, Indonesia, Iran, Romania, Russia, Ukraine, and energy, commodities, and resources.

the top line

MENA Crisis—Hormuz attacks likely to compel US escalation after midterms

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An escalation of the conflict in which the US resumes kinetic strikes against Iran after the midterms is likely (65%, up from 35%), as US efforts to move oil through the Strait of Hormuz falter amid Iranian attacks.
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The US has various military options, ranging from large-scale bombing raids to more limited strikes against targets near the strait, though any resumption of strikes is likely to trigger Iranian retaliation and move oil prices into a higher range of $110-$125 per barrel.

*

New strikes are unlikely to force more concessions from Iran, while the need to improve the unsustainable status quo may compel the US to agree to a limited deal (20%, up from 10%), though talks are currently making little progress.

*

Read more here . Reach out to discuss: mena@eurasiagroup.net .

Ukraine, US—Kyiv will absorb US pressure and keep hitting refineries

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Ukraine will keep striking Russian refineries despite US pressure, betting that Washington will stop short of cuts that seriously damage its war effort.

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If President Donald Trump does cut support for Ukraine, he will likely start with deep-strike intelligence, which would make the refinery campaign costlier and less effective.

*

A combined cutoff of battlefield intelligence, Starlink, and arms support would be the most severe option and would turn dangerous for Ukraine if it coincided with a major Russian escalation on the front.

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Read more here . Reach out to discuss: europe@eurasiagroup.net .

EU, Russia—EU will expand its tools to counter Russia’s escalating hybrid war

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European countries will consider a broader set of retaliatory measures—including the seizure of Russian assets frozen at Euroclear—as Russia's hybrid campaign intensifies, with a mass-casualty event the most likely trigger for crossing that threshold.

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Russia’s hybrid war is unlikely to escalate into an outright “hot” war, but it will inflict considerable material and psychological harm in an already tense European political environment.

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Amid a deteriorating US-Ukraine relationship, the Trump administration will also continue to play a largely passive role in response to Russia’s hybrid attacks.

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Read more here . Reach out to discuss: europe@eurasiagroup.net .

Chart of the Day, Geoeconomics—Sharp fall in Indonesia equities

Reach out to discuss: geoeconomics@eurasiagroup.net

Hungary—Euro adoption likely by 2032

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Prime Minister Peter Magyar’s government will likely miss its 2026 deficit target, with the shortfall reaching about 7.7% of GDP rather than 7.5%, owing to the government's reluctance to cut costly Fidesz giveaways and geopolitical shocks such as the war in the Middle East.
*
Because that fiscal slippage will delay progress toward the Maastricht criteria, the government will likely aim for European Exchange Rate Mechanism II entry by 2030 and euro adoption by 2032, rather than the earlier 2030 adoption goal.
*
Government cohesion remains strong, with Magyar firmly in control, despite a slight decline in opinion polls.
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Read more here . Reach out to discuss: europe@eurasiagroup.net .

Friday thoughts—impact of automation on growth and interest rates

Reach out to discuss: geoeconomics@eurasiagroup.net

upcoming conference calls

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16 October 10:00 AM ET—Global minerals update ahead of LME week. Register here .
*
19 October 8:00 AM ET—Brazil Update. Register here .
*
19 October 11:00 AM ET—MENA Crisis Update. Register here .
*
22 October 10:00 AM ET—US politics update with former Treasury deputy secretary Derek Theurer. Register here .

eg in brief

India—Electoral roll protests further strain Modi’s electoral coalition: The government’s zero-casualty crowd control and rollback of controversial electoral roll rules have confined the protests to a few cities. The protests have failed to create a united opposition, which could have been a genuine electoral threat to Prime Minister Narendra Modi. The protests have aggravated caste divisions within the core electoral coalition of Modi’s ruling Bharatiya Janata Party (BJP). Read more here . Reach out to discuss: southasia@eurasiagroup.net .

Romania—Government formation likely to end political crisis in October: Niculescu is likely to form a minority government (70% probability) with the Social Democratic Party in the coming days, driven more by fear of early elections than political consensus. A new government would restore short-term stability and unblock policymaking, but the immediate priority will be delivering a credible 2027 budget to avert a sovereign rating downgrade in January. Political stability will likely weaken after April 2027, as the centrists reassess their commitments amid tensions over spending and fiscal consolidation. Read more here . Reach out to discuss: europe@eurasiagroup.net .

China—Strong export surge to dampen scale of fiscal support: Strong exports will likely reduce the need for large-scale fiscal support. September exports surged 36% year-on-year in dollar terms, putting China's trade surplus on track to surpass its 2025 record of $1.2 trillion. Beijing approved a reallocation of 550 billion yuan of debt on 9 October, but strong exports will likely limit actual fiscal spending. The yuan will likely trade in a narrow range through year-end. Meanwhile, Beijing is strengthening social welfare programs to spur consumption amid new signs of weakness. Fines for employers that fail to pay social insurance could ease precautionary savings over time, but may weigh on consumption in the near term. Read more here . Reach out to discuss: china@eurasiagroup.net .

Australia, critical minerals—Mining titans aren't safe from critical minerals squeeze: Chinese and US entities are trying to extract more jobs for their own people out of Australia's mining-related businesses, in design, engineering, and finance. This will lead to political consternation in Canberra when it becomes widely known. Beijing is using its buying power as leverage over China-reliant Australian miners to demand more subcontracting work for Chinese firms. Companies that go along risk a backlash from Canberra, especially with outsourcing jobs prized by unions. Expect the Foreign Investment Review Board to keep getting more aggressive, including against Chinese investors in mining developments near military sites. Read more here . Reach out to discuss: ecr@eurasiagroup.net .

Upcoming events:

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16 October: Data: US cross-border investment, IP, and import price index.
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18 October: Data: Israel GDP.
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19 October: Data: China GDP, property prices, retail sales, and industrial production.
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20 October: Central bank decisions: China and Hungary.
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21 October: Events: Tesla, Meta, and IBM earnings; Data: Japan trade, and UK CPI; Central bank decisions: Indonesia, Israel, and Namibia.
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22 October: Central bank decisions: Philippines, South Korea, and Turkey.
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23 October: Data: Eurozone, Japan, UK, and US S&P, India HSBC Manufacturing PMI, Taiwan industrial production, and US UMich consumer sentiment; Central bank decisions: Kazakhstan and Russia.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Martina Silva, with the help of Blaise Hanson, Luisa Moreira, and Marianne Moreira.

We love feedback! Send us a note at DailyBrief@eurasiagroup.net .

closing quip

"Starshield systems are owned and controlled by the US government. Any limits on speed or usage are decided by the US military and ultimately POTUS."—SpaceX CEO Elon Musk wrote on X on 14 October.

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